

Direct Tax Reforms and Withholding Tax Mechanics in Sri Lanka (2025–2026)

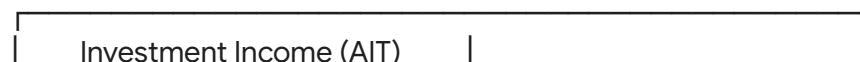
Evolution of the Direct Tax Framework and Legislative Landscape

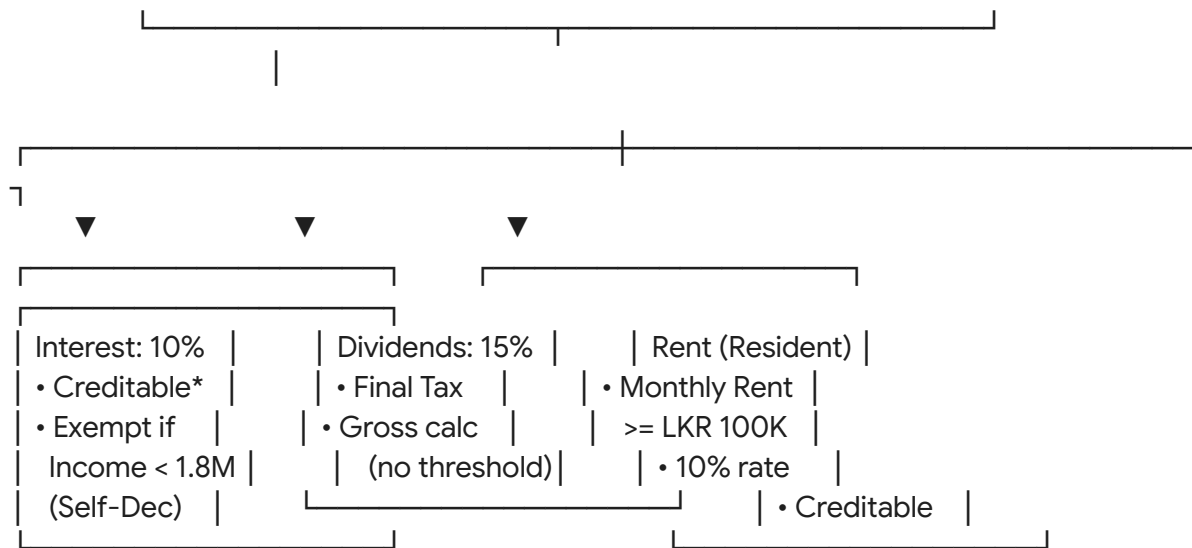
The fiscal architecture of Sri Lanka has undergone rapid transformation as part of a structured economic consolidation strategy¹. Seeking to stabilize the macroeconomic framework and widen the direct tax base, the state has enacted key legislative updates¹. These are led by the Inland Revenue (Amendment) Act No. 02 of 2025 and the subsequent Inland Revenue (Amendment) Act No. 11 of 2026³. These legislative acts amend the principal Inland Revenue Act No. 24 of 2017⁴. They systematically shift compliance obligations upstream through withholding mechanisms and advance tax deductions⁶.

To improve transparency and reduce the size of the informal economy, the state has implemented structural controls⁸. Effective April 1, 2026, a mandatory Taxpayer Identification Number (TIN) framework has been integrated into core administrative and commercial transactions¹⁰. Individuals and corporate entities must present their TIN certificate for essential activities, including opening bank accounts, obtaining credit cards, registering land or motor vehicles, incorporating businesses, transferring shares, and securing building plan approvals⁸. Furthermore, to restrict untraceable cash transactions, the government enforces a strict daily cash transaction limit of LKR 500,000⁸. Single or connected payments exceeding LKR 500,000 in a single day must be executed via traceable channels, such as bank drafts, credit or debit cards, or direct bank deposits⁸. Failure to use these approved electronic or banking mechanisms prevents the payer from claiming the transaction as a deductible business expense or counting it toward the depreciable cost of an asset⁸.

Detailed Mechanics of Investment Income (AIT)

The taxation of investment yields for the Years of Assessment 2025 and 2026 is structured around four primary asset classes: interest, dividends, rent, and royalties⁶. The rules differentiate between resident and non-resident investors, setting specific conditions under which these deductions represent final liabilities or creditable payments⁷.





Interest on Deposits

Under Section 84A of the Inland Revenue Act, the Advance Income Tax (AIT) rate on interest and deposit discounts paid to both resident and non-resident persons is 10%⁷. This represents an increase from the previous 5% rate².

The mathematical formulation for interest withholding is defined as:

$$WHT_{\text{interest}} = I_{\text{gross}} \times 0.10$$

Where I_{gross} represents the gross interest, discount, or return paid or credited, excluding any repayment of the original deposit principal¹².

There is a conflict regarding the finality of this tax⁹. While certain simplified reporting models treat interest withholding as a final tax to simplify compliance, the statutory position is that interest AIT is a creditable tax⁹. This means standard taxpayers must declare their interest income in their annual return and claim the withheld AIT as a credit against their progressive tax liability⁹.

However, for resident individuals whose total annual assessable income from all sources does not exceed LKR 1.8 million, the tax achieves practical finality through an exemption⁹. By submitting a valid self-declaration form to their financial institution, these low-income depositors can prevent any AIT deduction from their accounts⁹.

If a non-resident deposit holder seeks a lower AIT rate under a Double Tax Avoidance Agreement (DTAA), they must obtain a tax clearance certificate from the Commissioner-General of Inland Revenue (CGIR) prior to the deduction¹². Without this certificate, banks are legally required to deduct the standard 10% rate¹². Notably, interest derived by non-residents from investments in LKR-denominated Government Treasury Bonds and Bills is entirely exempt from withholding tax¹⁵.

Dividend Income

Dividend distributions made by resident companies are subject to an AIT rate of 15%⁶. The calculation is written as:

$$WHT_{\text{dividend}} = D_{\text{gross}} \times 0.15$$

Where D_{gross} represents the gross dividend amount declared⁶.

Dividend AIT is a final withholding payment⁶. As a result, the recipient does not declare dividend income as part of their total statutory income, and no further tax is levied on these distributions⁶. Dividends paid to non-resident shareholders are also subject to this 15% rate, subject to potential reductions under applicable DTAAs¹⁷.

Rental Income

Rental payments made to resident individuals are subject to an AIT rate of 10%, provided that the aggregate monthly rent for the property or lease agreement exceeds LKR 100,000⁶. For resident individuals, this is a creditable tax rather than a final tax¹¹.

The calculation is governed by the following piecewise function:

$$WHT_{\text{rent}} = \begin{cases} 0 & \text{if } R_{\text{monthly}} < 100,000 \\ R_{\text{gross}} \times 0.10 & \text{if } R_{\text{monthly}} \geq 100,000 \end{cases}$$

Where R_{monthly} is the aggregate monthly rent and R_{gross} is the gross rent payable⁶.

When calculating the final taxable rental income of an individual owner, the law allows a statutory Rent Relief deduction equal to 25% of the total rental income for the year of assessment to cover repairs, maintenance, and depreciation¹⁶. This deduction is granted without requiring proof of actual expenses¹⁶.

Conversely, rent payments made to non-resident persons are subject to a flat 14% withholding rate from the first rupee, without any threshold applicability⁷.

Royalty Income

Royalties, as defined in Section 195 of the Inland Revenue Act, are subject to a withholding rate of 14%⁶. This rate applies to both resident and non-resident payments⁷. The mathematical calculation is defined as:

$$WHT_{\text{royalty}} = Ry_{\text{gross}} \times 0.14$$

Where Ry_{gross} represents the gross royalty payment before any deductions⁶.

For resident individuals, the 14% withheld tax is creditable against their annual personal tax liability¹¹. For non-resident persons who do not carry on a business through a permanent establishment in Sri Lanka, the 14% WHT functions as a final withholding payment, subject to reduction under bilateral tax treaties¹⁸.

Structural Revisions to Personal Income Tax and Relief Brackets

The personal tax regime has been revised to ease the compliance burden on low-to-middle-income earners while adjusting progressive tax rates².

Annual Tax-Free Relief and Brackets

Effective April 1, 2025, for the Year of Assessment 2025/2026, the annual personal income tax-free relief (allowance) for resident individuals and non-resident Sri Lankan citizens has been increased to LKR 1.8 million⁴. This equates to a monthly tax-free threshold of LKR 150,000². Any assessable income earned above this LKR 1.8 million allowance is subject to progressive tax brackets⁹:

Annual Taxable Income Brackets (Above LKR 1,800,000 Relief)	Marginal Tax Rate	Cumulative Tax at Top of Bracket
First LKR 1,000,000	6% ⁹	LKR 60,000 ²⁰
Next LKR 500,000 (LKR 1,000,001 to LKR 1,500,000)	18% ⁹	LKR 150,000 ²⁴
Next LKR 500,000 (LKR 1,500,001 to LKR 2,000,000)	24% ⁹	LKR 270,000 ²⁴
Next LKR 500,000 (LKR 2,000,001 to LKR 2,500,000)	30% ⁹	LKR 420,000 ²⁴
Remaining Balance (Above LKR 2,500,000 taxable)	36% ⁹	Dependent on total excess ⁹

Tax Return Filing Exemptions

To reduce administrative complexity, certain individuals are exempt from filing an annual

income tax return³. Effective April 1, 2025, a taxpayer is not required to file a return if their taxable income consists exclusively of employment income subject to Advance Personal Income Tax (APIT) deducted at source, provided their annual interest income does not exceed LKR 5,000³.

Expanded Withholding Tax on Independent Service Providers

The Inland Revenue (Amendment) Act No. 11 of 2026 expanded the scope of withholding taxes on independent service providers (ISPs)³. Historically, the 5% service WHT was restricted to a narrow list of professional services, such as doctors, lawyers, engineers, and accountants⁶. The 2026 amendment extended this tax to a much broader range of individuals³.

Scope and Threshold of Coverage

A 5% withholding tax is applied to the full payment made to a resident individual for services rendered, provided the aggregate payments from a single withholding agent exceed LKR 100,000 in a calendar month⁶.

The calculation is expressed as:

$$WHT_{\text{service}} = \begin{cases} 0 & \text{if } S_{\text{monthly}} < 100,000 \\ S_{\text{gross}} \times 0.05 & \text{if } S_{\text{monthly}} \geq 100,000 \end{cases}$$

Where S_{monthly} represents the total monthly service payment and S_{gross} represents the gross service fee⁶.

The table below outlines the expanded categories of service providers subject to this 5% WHT under the 2026 legislation³:

Sector	Covered Service Providers
Professional & Advisory	Doctors, Dentists, Veterinarians, Engineers, Architects, Lawyers, Accountants, Auditors, Valuers, Advisors ³
Media, Creative & Arts	Artists, Actors, Dancers, Singers, Musicians, Photographers, Videographers, Social Media Specialists, Brand Ambassadors, Writers, Translators ³
Wellness, Care & Domestic	Therapists, Counsellors, Beauticians, Cooks,

	Personal Trainers, Coaches ³
Business, Tech & Finance	IT Specialists, Software Developers, Researchers, Academics, Advertising Agents, Event Organizers, Debt Collectors, Modellers ³
Trades & Sports	Electricians, Sports Persons, or <i>any other individual service provider</i> [cite: 3, 10]

Exemptions from Service WHT

Service fee withholding does not apply under the following conditions⁶:

- Payments made by an individual, unless the payment is made directly in the course of conducting their business⁶.
- Payments made by the Government of Sri Lanka or government departments (this exemption does not extend to public corporations, universities, or state-owned business entities)⁶.

Procedural Compliance, Penalties, and Special Administrative Provisions

To support the updated tax rates, the Department of Inland Revenue has introduced new compliance procedures, filing requirements, and penalty guidelines³.

Withholding Agent Obligations and Electronic Statement Filing

Withholding agents must remit all deducted AIT and WHT to the Commissioner-General of Inland Revenue (CGIR) within 15 days of the end of each calendar month⁶. Remittances are classified using specific tax type codes:

Code 43 → AIT on Deposit Interest[cite : 5, 7]

Code 44 → WHT on Other Payments[cite : 5, 7]

Under Circular No. SEC/2025/E/05, banks and financial institutions must submit their monthly and quarterly statements of AIT (utilizing Schedule 1 for interest and Schedule 4 for deposit discounts) electronically via a Secure File Transfer Protocol (SFTP) path²⁵. These schedules must be verified using the official Schedule File Verifier Tool provided on the Inland Revenue portal before submission to prevent duplicate serial numbers²⁵.

Furthermore, withholding agents are required to issue withholding tax certificates to payees at

no cost³. Charging any fee for the issuance of these certificates is prohibited⁸.

Penalty Structures

To encourage compliance, the Inland Revenue (Amendment) Act No. 11 of 2026 introduced new penalty rates³:

- **Procedural and Filing Non-Compliance:** Withholding agents who fail to comply with the procedures specified by the CGIR are subject to a penalty of up to LKR 200,000 per Year of Assessment³.
- **False Self-Declarations:** Resident individuals who submit false or misleading information in their interest-exclusion self-declaration are liable for a penalty of up to LKR 200,000³.
- **Understating Tax Liabilities:** Taxpayers who understate their annual tax liability face a 25% penalty if the understated amount is under LKR 10 million or represents less than 25% of their total tax liability²⁸. If the understated amount exceeds LKR 10 million, the penalty rises to 75%²⁸.
- **Late Payment Interest:** Late payments of tax installments or final dues attract an interest rate of 1.5% per month, compounded monthly, calculated from the original due date²⁹.

Special Refund Protocols for Senior Citizens and Residents

Special administrative provisions have been introduced to streamline tax refunds⁴. Under the 2025/2026 guidelines, if a resident individual claims an income tax refund of up to LKR 180,000 for the Year of Assessment, the Commissioner-General is authorized to process and issue the refund within three months of filing, prior to a tax audit⁴.

For resident senior citizens, this process is further accelerated⁴. Senior citizens can claim quarterly refunds prior to a tax audit, provided their claim does not exceed LKR 45,000 per quarter⁴. Senior citizens are also exempt from mandatory electronic filing and may choose to submit their tax returns in either written or electronic format¹⁰.

Capital Gains Tax, Leases, and International Adjustments

The fiscal updates also impact capital assets, lease transactions, and international business structures⁹.

Revisions to Capital Gains Tax (CGT) Rates

Effective from the enactment of the 2026 Amendment Act, Capital Gains Tax rates on the realization of investment assets have been increased¹⁰:

- **Individuals and Partnerships:** The CGT rate has been raised from 10% to 15%¹⁰.
- **Trusts, Unit Trusts, Mutual Funds, and Non-Governmental Organizations (NGOs):** The CGT rate has been increased from 10% to 30%¹⁰.

However, the disposal of a personal motor vehicle (provided it was not used for business purposes and was not subject to business depreciation allowances) remains exempt from tax, with any realized profits being tax-free⁸. This exemption is retroactively effective from April 1,

2024¹⁰.

Stamp Duty on Leases

Effective April 1, 2025, the stamp duty rate applicable to instruments relating to the lease of any property in Sri Lanka has been doubled from 1% to 2%⁹.

Revisions to Non-Resident and Foreign-Sourced Income Rules

To regulate foreign exchange flows and tax residency, the 2025/2026 amendments introduced several notable changes³:

Exemption on Foreign-Sourced Interest

Interest paid on loans obtained from offshore sources is exempt from income tax, effective April 1, 2025, only if the loan funds are remitted to Sri Lanka in foreign currency through a licensed bank and are fully utilized within the country³.

Concessionary Treatment for Service Exports

Effective April 1, 2025, previous broad tax exemptions on foreign-sourced earnings and service exports have been removed⁴. Under the updated rules:

- Profits derived by companies from service exports (such as IT, BPO services, and shipping) are taxed at a flat concessional rate of 15%, provided the foreign earnings are remitted to Sri Lanka through a local bank⁹.
- For individuals (such as freelancers or remote consultants), these remitted foreign earnings are taxed at a maximum rate of 15% under the progressive tax structure⁹.
- If the foreign earnings are not remitted through a local bank (e.g., retained offshore), they are subject to standard progressive personal income tax rates of up to 36%⁹.

Reclassification of Residence Visa Holders

The Golden Paradise Residence Visa has been renamed the "Investor Category Residence Visa"³. Effective April 1, 2025, holders of this visa are treated as non-residents for tax purposes, shielding their foreign-sourced assets and income from Sri Lankan income tax³.

Foreign Employment Exemption

An individual who leaves Sri Lanka for foreign employment under a contract of at least one year with an unrelated employer is treated as a non-resident for tax purposes, effective from the first day of the Year of Assessment of departure until the contract expires¹⁰.

Port City Entities and VAT Reform

Entities operating within the Colombo Port City that are approved as Businesses of Strategic Importance (BSI) must submit their tax returns in a format specified by the CGIR¹⁰.

Additionally, as part of the broader VAT restructuring, the Simplified VAT (SVAT) scheme is scheduled for abolition and will be replaced by a risk-based refund system⁹.

Operational and Comparative Tax Matrix

The following table summarizes the tax rates, thresholds, and filing conditions applicable in Sri

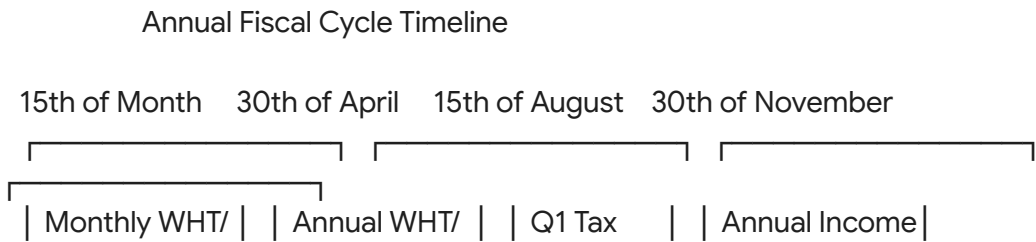
Lanka for the 2025/2026 period across different income streams⁶:

Income Category / Tax Type	Standard Rate	Threshold / Applicability Condition	Final or Creditable	Key Compliance Obligation
Deposit Interest (AIT)	10% ⁴	Gross interest paid ¹² . Exempt if total annual income $\leq$ LKR 1.8M (requires self-declaration) ⁹ .	Creditable ⁹ (Exempt at source if declaration submitted) ¹³ .	Bank must file quarterly Schedule 1 statements via SFTP ²⁵ .
Dividends (AIT)	15% ⁶	Standard distribution on equity ⁶ .	Final Withholding ⁶	No disclosure required in standard statutory income schedules ¹⁶ .
Rent (Resident)	10% ⁶	Aggregate monthly rent $\geq$ LKR 100,000 ⁶ .	Creditable ¹¹	Taxpayer can deduct 25% Rent Relief for repairs ¹⁶ .
Rent (Non-Resident)	14% ⁷	Sourced in Sri Lanka, no threshold ⁷ .	Final Withholding ¹⁸	Withheld at source by the tenant ⁷ .
Royalties (Resident)	14% ⁶	Sourced in Sri Lanka, no threshold ⁷ .	Creditable ¹¹	Disclosed in annual individual/corporate returns ¹⁷ .
Royalties (Non-Resident)	14% ⁷	Sourced in Sri Lanka, no threshold ⁷ .	Final Withholding ¹⁸	Subject to treaty rate reductions under DTAA ¹⁷ .

Independent Services (WHT)	5% ⁶	Monthly payment $\geq$ LKR 100,000 ⁶ . Applies to broadened ISP list ³ .	Creditable ¹¹	Payer must issue WHT certificate to provider at no cost ³ .
Capital Gains (CGT)	15% / 30% ¹⁰	Realization of investment assets ¹⁰ . (15% for individuals/partnerships; 30% for trusts/NGOs) ¹⁰ .	Final Payment ³²	Gains on personal motor vehicles are tax-free ⁸ .
Service Exports	15% ⁹	Remitted to Sri Lanka through a licensed bank ⁹ .	Concessional Rate ⁹	Subject to standard progressive rates of up to 36% if kept offshore ⁹ .

Compliance Timeline and Structural Recommendations

For both corporate withholding agents and individual taxpayers, navigating the 2025/2026 tax landscape requires strict adherence to filing schedules and administrative protocols⁶:



AIT Return & Remittance	AIT Statement Submission	Installment Payment	Tax Return Filing
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1. **Monthly Compliance:** Withholding agents must calculate, deduct, and remit all WHT and AIT collections to the Department of Inland Revenue within 15 days of the end of each calendar month, using the appropriate payment codes⁶. WHT certificates must be issued to payees at no cost during this same monthly cycle³.
2. **Annual Withholding Statements:** Under Section 86 of the Inland Revenue Act, withholding agents must submit their Annual Statement of Withholding Tax and Advance Income Tax, along with all supporting schedules, on or before April 30th following the end of the Year of Assessment⁵.
3. **Quarterly Installment Schedule:** Taxpayers classified as installment payers must remit their estimated quarterly income tax payments by the 15th of August, November, February, and May, respectively²⁸.
4. **Annual Return Submission:** All annual individual and corporate income tax returns must be filed electronically through the RAMIS portal on or before November 30th¹⁷.

By maintaining accurate electronic records, verifying withholding schedules prior to upload, and ensuring that self-declarations and TIN registrations are updated, taxpayers and agents can ensure full compliance with Sri Lanka's direct tax framework and avoid substantial non-compliance penalties¹⁰.

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Fiscal Restructuring and Direct Tax Administration in Sri Lanka: An Exhaustive Analysis of the Y/A 2025/2026 Framework

Structural Evolution of Personal Income Tax and the APIT System

The fiscal policy landscape of Sri Lanka for the Year of Assessment (Y/A) 2025/2026, spanning April 1, 2025, to March 31, 2026, represents a landmark consolidation of direct tax policy¹. Enacted under the Inland Revenue (Amendment) Act No. 2 of 2025 and structurally modified through the administrative frameworks of the Inland Revenue (Amendment) Act No. 11 of 2026, this system balances the strict revenue-generation targets of the International Monetary Fund (IMF) stabilization program with a critical socioeconomic mandate to provide direct relief to middle-income formal earners².

A central pillar of this structural realignment is the substantial expansion of the annual personal relief—the tax-free threshold—from LKR 1,200,000 to LKR 1,800,000 for all resident individuals and non-resident Sri Lankan citizens¹. On a monthly basis, this adjustment increases the tax-exempt threshold from LKR 100,000 to LKR 150,000, insulating lower-middle-class earners from direct salary withholdings under the Advance Personal Income Tax (APIT) scheme⁴.

Alongside the expansion of the personal relief threshold, the progressive tax slab architecture has been systematically compressed. In previous assessment years, taxable income exceeding the exempt limit was partitioned into standard annual slabs of LKR 500,000, with sequential marginal rates of 6%, 12%, 18%, 24%, 30%, and a top-tier rate of 36%⁴. While draft proposals and preliminary frameworks contemplated maintaining these LKR 41,667 monthly (LKR 500,000 annual) progressive intervals starting from the new LKR 150,000 threshold, the finalized legislative enactment under Amending Act No. 2 of 2025 executed a more radical structural consolidation¹.

Specifically, the 12% marginal tax bracket was abolished entirely¹. To prevent immediate bracket creep, the initial 6% tax slab was doubled from LKR 500,000 to LKR 1,000,000 per annum, which translates to a monthly slab of LKR 83,333.33¹. Any taxable income exceeding this first LKR 1,000,000 bracket is subjected to sequential LKR 500,000 annual (LKR 41,666.67 monthly) slabs, with the marginal tax rates stepping up to 18%, 24%, 30%, and finally 36% on all residual income exceeding LKR 4,300,000 per annum⁴.

Tax Parameter	Previous	Hypothetical	Legislated
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	Framework (Y/A 2024/2025)	Transitional Model	Framework (Y/A 2025/2026)
Annual Tax-Free Threshold	LKR 1,200,000 ¹	LKR 1,800,000	LKR 1,800,000 ¹
Monthly Tax-Free Threshold	LKR 100,000 ⁴	LKR 150,000	LKR 150,000 ⁴
First Taxable Slab (Annual)	LKR 500,000 @ 6% ⁴	LKR 500,000 @ 6%	LKR 1,000,000 @ 6% ¹
Second Taxable Slab (Annual)	LKR 500,000 @ 12% ⁴	LKR 500,000 @ 12%	Abolished ¹
Third Taxable Slab (Annual)	LKR 500,000 @ 18% ⁴	LKR 500,000 @ 18%	LKR 500,000 @ 18% ⁴
Fourth Taxable Slab (Annual)	LKR 500,000 @ 24% ⁴	LKR 500,000 @ 24%	LKR 500,000 @ 24% ⁴
Fifth Taxable Slab (Annual)	LKR 500,000 @ 30% ⁴	LKR 500,000 @ 30%	LKR 500,000 @ 30% ⁴
Terminal Tax Rate (Balance)	36% on excess of LKR 3.7M ⁴	36% on excess of LKR 4.3M	36% on excess of LKR 4,300,000 ⁴

This consolidation creates a distinct direct tax trajectory. To illustrate this progression, a comparative calculation of a monthly employment income of LKR 500,000 shows the real-world operational impact of the legislated changes:

- **Under the Y/A 2024/2025 Framework:** The taxable monthly income exceeding the LKR 100,000 threshold was LKR 400,000⁴. Applying the historical LKR 41,667 progressive slabs resulted in a monthly APIT liability of exactly LKR 106,500⁴.
- **Under the Hypothetical Transitional Model:** Merely shifting the tax-free threshold to LKR 150,000 while retaining the old LKR 41,667 progressive slabs would yield a taxable income of LKR 350,000, resulting in a monthly APIT liability of LKR 88,500.
- **Under the Legislated Y/A 2025/2026 Framework:** The actual taxable monthly income exceeding LKR 150,000 is LKR 350,000⁴. Applying the expanded 6% bracket (up to LKR 233,333) and skipping the 12% slab entirely results in a monthly APIT liability of LKR 86,000⁴. This delivers a net monthly saving of LKR 20,500 (representing a 19.2%

reduction in direct tax liability) compared to the previous assessment year².

The Eight APIT Tax Tables: Statutory Mechanics and Formulas

The withholding mechanism for employment income, designated as Advance Personal Income Tax (APIT), is a mandatory pay-as-you-go system¹. Employers are legally obligated to deduct APIT at source from the gross remuneration of liable employees at the time of payment or crediting, remitting these funds to the Inland Revenue Department (IRD) on or before the 15th day of the subsequent calendar month⁶.

The calculation of taxable employment income is based on a comprehensive definition of gains and profits from employment under Section 5 of the Inland Revenue Act⁸. This includes basic salary, cost-of-living allowances, overtime, leave pay, bonuses, retirement contributions made by the employer, and quantified non-cash benefits⁸.

Specifically, non-cash benefits are valued under rigid statutory guidelines:

- **Private use of motor vehicles:** Quantified based on engine capacity or engine fuel provisions. For motor bicycles, private use with fuel is valued at LKR 5,000 per month, and LKR 3,000 per month without fuel⁹. Fieldwork vehicles where accurate records are kept are valued at LKR 25 per kilometer up to a statutory cap of LKR 20,000 per month⁹.
- **Housing and residential facilities:** Reimbursed actual rent or provided housing is taxable⁹. For estate bungalows provided to employees, the non-cash benefit is quantified at fixed tiers of 12.5%, 10%, or 7.5% of the employee's monthly salary depending on the grade and location of the residence⁹.
- **Concessionary interest loans:** If an employer bears the interest cost of a concessionary loan provided to employees, the interest subsidy is treated as a taxable employment benefit⁹.
- **Communication facilities:** Where an employer settles an employee's telephone or data bills used for both official and private use, 50% of the aggregate monthly payment is deemed a taxable non-cash benefit⁹.

For the calculation of net taxable income, the employee's mandatory 8% contribution to the Employees' Provident Fund (EPF) is deductible from gross taxable employment earnings prior to the application of the tax tables¹.

To standardize withholding across varied employment categories, the IRD has promulgated eight distinct APIT Tax Tables for Y/A 2025/2026⁶.





Table 01: Monthly Tax Deductions from Regular Profits from Primary Employment

This table applies strictly to regular monthly remuneration earned by resident employees and non-resident Sri Lankan citizens who have furnished a primary employment declaration⁷. Let P_m represent the monthly regular taxable profits from employment after deducting the 8% employee EPF share¹. The monthly APIT deduction (T_{m1}) is governed by the following piecewise functions:

$$\text{For } P_m \leq 150,000 : \quad T_{m1} = 0 \quad [\text{cite: 7, 10}]$$

$$\text{For } 150,000 < P_m \leq 233,333 : \quad T_{m1} = (P_m \times 0.06) - 9,000 \quad [\text{cite: 7, 10}]$$

$$\text{For } 233,333 < P_m \leq 275,000 : \quad T_{m1} = (P_m \times 0.18) - 37,000 \quad [\text{cite: 7, 10}]$$

For $275,000 < P_m \leq 316,667$: $T_{m1} = (P_m \times 0.24) - 53,500$ [cite: 7, 10]

For $316,667 < P_m \leq 358,333$: $T_{m1} = (P_m \times 0.30) - 72,500$ [cite: 7, 10]

For $P_m > 358,333$: $T_{m1} = (P_m \times 0.36) - 94,000$ [cite: 7]

Table 02: Rates for the Deduction of Tax from Lump-Sum Payments

Table 02 prevents tax distortion from irregular payments (such as bonuses, commissions, or retroactive adjustments) by utilizing an annualized estimation method¹⁰. The calculation

requires the projection of Estimated Gross Aggregate Remuneration (EGAR), denoted as D ¹²:

$$D = A + B + C \quad [\text{cite: 12}]$$

Where A is the gross aggregate monthly regular remuneration already paid in the current tax year, B is the regular remuneration payable for the remaining months of the year, and C represents the lump-sum payments made or payable during the current month¹².

Once D is computed, the corresponding annualized tax rate formula is applied:

- For $D \leq 1,800,000$: The tax deductible is Nil¹².
- For $1,800,001 < D \leq 2,800,000$:

Tax = $(D \times 0.06) - [108,000 + \text{Aggregate Table 01 Tax Deducted on } A \text{ and Deductible or}]$

- For $2,800,001 < D \leq 3,300,000$:

Tax = $(D \times 0.18) - [444,000 + \text{Aggregate Table 01 Tax Deducted on } A \text{ and Deductible or}]$

- For $3,300,001 < D \leq 3,800,000$:

$$\text{Tax} = (D \times 0.24) - [642,000 + \text{Aggregate Table 01 Tax Deducted on } A \text{ and Deductible } B]$$

- For $3,800,001 < D \leq 4,300,000$:

$$\text{Tax} = (D \times 0.30) - [870,000 + \text{Aggregate Table 01 Tax Deducted on } A \text{ and Deductible } B]$$

- For $D > 4,300,000$:

$$\text{Tax} = (D \times 0.36) - [1,128,000 + \text{Aggregate Table 01 Tax Deducted on } A \text{ and Deductible } B]$$

Table 03: Terminal Benefits and Once-and-for-All Retiring Payments

This table regulates withholding on pension commutations, retiring gratuities, compensation for loss of office, and retirement withdrawals from the ETF¹³. Approved schemes enjoy concessionary progressive rates, while unapproved packages are taxed under standard PIT slabs¹³.

Table 04: Non-Resident, Non-Citizen Employees

Because non-resident and non-citizen employees are excluded from the LKR 1,800,000 annual personal relief, Table 04 enforces withholding starting from the first rupee of employment income⁸. Under Table 4.1, regular monthly profits are taxed immediately at 6% for the first LKR 41,667, rising sequentially to 36%⁷. These deductions constitute a final withholding payment, exempting the employee from filing an annual return in Sri Lanka⁸.

Table 05: Cumulative Gains and Profits from Employment

Table 05 applies when an employee's monthly regular profits are under LKR 150,000 but cumulative annual employment income exceeds LKR 1,800,000 due to retroactive payroll changes⁸. The table applies the annualized progressive slabs directly to the cumulative earnings up to the current month, and deducts prior tax payments to calculate the current month's liability⁷.

Table 06: Tax-on-Tax Rates

When an employer contractually agrees to pay an employee's tax liability without deducting it from their gross salary, this benefit is deemed taxable⁷. Table 6.1 provides gross-up formulas

(e.g., $(P_r \times 6.38\%) - 9,570$ for the lower-salary band) to calculate the tax-on-tax effect⁷.

This table applies to employees with multiple concurrent employments who have not filed a primary declaration with the secondary employer⁸. To prevent under-withholding, Table 7.1 taxes secondary employment income starting from the first rupee based on the employee's known primary income bracket (ranging from a flat 6% to 36%)⁷.

Where a resident individual receives remuneration from an offshore employer that lacks local withholding status, the compliance obligation shifts to the employee⁸. Under Table O8, the employee must calculate their cumulative monthly employment income, apply the progressive annual slabs, and personally remit the due tax to the IRD within fifteen days of the end of each calendar month¹⁴.

The structural tax reforms effective April 1, 2025, have expanded the direct tax base by adjustments to Withholding Tax (WHT) and Advance Income Tax (AIT) on non-employment income¹⁵. WHT and AIT are deducted at source by withholding agents (such as banks, corporate payers, or lessees) and remitted to the IRD¹⁵.

A central revenue-generating measure of the reform is the doubling of the AIT rate on interest and discounts from 5% to 10%². This rate applies to all interest paid on financial deposits to both residents and non-residents⁵.

To protect low-income savers and retirees from liquidity constraints, the IRD has established a self-exemption mechanism⁵. Resident individuals whose total estimated assessable income from all sources (employment, business, investment, and partnership distributions) does not exceed the LKR 1,800,000 annual personal relief threshold can submit a formal self-declaration (Form ISD/WHT/01-E or 02-E) to their financial institutions⁵. Upon submission of a valid declaration, banks are legally prohibited from deducting the 10% interest AIT at source⁵.

[REDACTED]
[REDACTED] PAYEE CLASSIFICATION FOR NON-EMPLOYMENT [REDACTED]
[REDACTED] INCOME [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

Interest or Discount Income	10% ²	Creditable AIT; subject to self-exemption under LKR 1.8M ⁵ .
Rent paid to a Resident Person	10% ¹³	Creditable WHT; applicable if aggregate monthly payments > LKR 100,000 ¹³ .
Professional Service Fees to Resident ISPs	5% ¹³	Creditable WHT; applicable if aggregate monthly payments > LKR 100,000 ¹³ .
Lottery Winnings, Betting, or Gambling	14% ¹³	Taxed at source; subject to specialized betting levies ¹³ .
Royalties, Natural Resource Payments, Premiums	14% ¹³	Withholding tax deducted at source ¹³ .
Rent, Service Fee, or Premium to Non-Resident	14% ¹³	Subject to Double Tax Avoidance Agreement (DTAA) provisions ¹³ .
Sale of Gems (NGJA Auctions)	2.5% ¹³	Deducted from the gross sale price at source ¹³ .
Non-Resident Transport/Telecom (Sec. 85(2))	2% ¹³	Special withholding rate on gross freight or telecom billings ¹³ .

Operational Guidelines for Terminal Benefits and Retirement Payments

At the termination of an employee's service, the taxation of once-and-for-all retiring payments—including pension commutations, retiring gratuities, compensation for loss of office, and ETF disbursements—is governed strictly under APIT Table 03¹³. The statutory tax rates applied to these terminal payments depend on whether the payment is derived from an approved scheme or is subject to unapproved/normal progressive rates¹³.

Approved terminal benefits are those originating from the government, regulated provident funds, or schemes formally approved by the CGIR (such as uniform Voluntary Retirement Schemes)¹³. These approved payments enjoy a concessionary, multi-tiered tax rate structure

that is isolated from the individual's normal annual employment income¹³:

First LKR 10,000,000: 0% [cite: 13]

Next LKR 10,000,000: 6% [cite: 13]

Remaining Balance: 12% [cite: 13]

Conversely, if the terminal benefit is unapproved—such as a non-uniformly applied redundancy package or compensation for loss of office that has not received formal legislative approval from the Tax Policy and Legislation Unit of the IRD—the payment is taxed under the standard progressive PIT brackets, ranging from 6% up to 36%¹³.

To ensure enforcement of these liabilities, the IRD mandates strict statutory retention rules for withholding agents¹³. If the aggregate value of approved terminal benefits payable to an employee exceeds LKR 5,000,000, the employer or the ETF Board is legally required to retain a flat 12% of the excess amount¹³. For unapproved terminal benefits, unapproved provident funds, or retirement non-cash benefits (which must be valued at current market prices), the employer must retain a flat 36% of the taxable amount¹³. However, a tax-free threshold applies: if the employee's total taxable remuneration and terminal payments from the start of the Year of Assessment to the date of termination do not exceed LKR 1,800,000, the retention requirement is waived¹³.

Following the retention of the 12% or 36% sum, the employer must instruct the retiring employee to apply to the Clearance and Directions Unit of the IRD (located at the Sir Chittampalam A. Gardiner Mawatha Head Office in Colombo) within 90 days to obtain a formal "Tax Direction"¹³. Once the IRD issues the direction calculating the exact concessionary or progressive liability, the employer complies with the specified tax figure, remitting the calculated tax to the IRD and releasing any remaining retained balance to the retiree¹³.

If the employee fails to obtain this tax direction within the 90-day window, the employer is legally obligated to immediately remit the entire retained sum (the 12% or 36% amount) to the Commissioner General of Inland Revenue's Account No. 2 at People's Bank (Union Place Branch)¹³. When completing the paying-in slip, the employer must leave the TIN field blank and write "Tax on Once-and-for-all Payment" in the Type of Tax field to ensure appropriate account reconciliation¹³.

Corporate Income Taxation, Sectoral Tariffs, and VAT Consolidation

The statutory tax changes enacted for Y/A 2025/2026 also target corporate structures and

consumer markets, integrating direct and indirect tax platforms to close fiscal leakage points⁵. The standard corporate income tax (CIT) rate remains fixed at 30%⁵. However, companies engaged in the manufacture, sale, or import of liquor, tobacco products, or those conducting betting and gaming activities face an increased CIT rate of 45% (up from 40%), effective April 1, 2025³.

For service exports (including business process outsourcing and software development) and foreign source incomes earned in foreign currency, the historical tax exemptions have been repealed². Effective April 1, 2025, these gains are subject to income tax⁵. To maintain export competitiveness, a concessionary income tax rate of 15% applies to companies and resident individuals (as a maximum progressive rate), provided these earnings are remitted through the local banking system². If the remittance conditions are not met, the standard rates of 30% for companies and up to 36% for individuals apply².

Partnerships are subject to a simplified direct tax regime¹³. The first LKR 1,000,000 of a partnership's taxable income is subject to a 0% rate, with any excess taxed at a flat 6%¹³. Crucially, partnership tax paid at source can be allocated and set off against the individual income tax liabilities of the partners; while this credit is non-refundable, any unutilized balance can be carried forward to subsequent years of assessment²⁶. Gains from the realization of partnership investment assets are taxed at a flat rate of 10%¹³.

Corporate / Partnership Class	Statutory Income Tax Rate	Special Conditions / Operational Framework
Standard Corporations	30% ⁵	Applies to all sectors not subject to concessionary or elevated rates ⁵ .
Service Exports (BPO/IT)	15% ⁵	Concessionary rate; requires foreign currency remittance via local banks ⁵ .
Betting, Gaming, Liquor, Tobacco	45% ³	Elevated rate; applies to both corporate entities and individual operators ⁵ .
Partnerships (Taxable Income)	0% up to LKR 1M, 6% on excess ¹³	Tax can be set off against the individual tax of the partners ²⁶ .
Partnership Investment Assets	10% ¹³	Fixed tax rate on the capital gains from investment asset realizations ¹³ .

In indirect taxation, the standard Value Added Tax (VAT) rate is maintained at 18%⁵. Effective October 1, 2025, the Simplified Value Added Tax (SVAT) scheme was abolished⁵. The historical SVAT system was replaced with a risk-based refund scheme, forcing exporters to pay input VAT upfront on local transactions and imports, and subsequently claim refunds⁵. Additionally, VAT registration became mandatory for all commercial importers starting April 11, 2025⁵. To capture digital transactions, non-resident electronic platform operators providing digital services (such as streaming, cloud infrastructure, or e-commerce) to Sri Lankan consumers are subject to a standard 18% digital services VAT⁵. The operational implementation of this digital services VAT was deferred to July 1, 2026, to allow for the finalization of API billing configurations between the IRD's RAMIS system and global ERP networks²⁸.

Legislative and Administrative Reforms Under Act No. 11 of 2026

The enactment of the Inland Revenue (Amendment) Act No. 11 of 2026 has introduced crucial administrative simplifications and compliance mandates that directly affect direct tax operations for Y/A 2025/2026²¹. These measures represent a policy shift toward automated, risk-based tax administration and reduced filing burdens for compliant individuals⁵.

Retroactive Tax Credit on Salary Arrears (Section 96A)

A major challenge under the progressive APIT system has been the lump-sum payment of accumulated salary arrears, which often pushed salaried employees into higher marginal tax brackets (e.g., jumping from 18% to 30% or 36%) in the month of payment, even though the income was earned across prior years⁴. To resolve this inequity, Act No. 11 of 2026 introduces Section 96A, creating a retroactive tax credit for salary arrears effective from January 1, 2024²¹. When an employee receives retroactive salary arrears in Y/A 2025/2026, they are entitled to a calculated tax credit that matches the excess tax paid²¹. This credit is set off directly against the employment income tax payable for that assessment year, effectively neutralizing the bracket creep caused by delayed payroll disbursements²¹.

Abolition of the Statement of Estimated Tax (SET)

Historically, quarterly installment payers were burdened with filing a Statement of Estimated Tax Payable (SET) at the beginning of each Year of Assessment to project their annual liability²⁵. Under the new administrative simplifications, the requirement to file a SET has been abolished effective from the Y/A commencing April 1, 2026¹⁹.

Taxpayers are no longer required to lodge estimated projections¹⁹. Instead, tax liabilities are calculated based on actual income earned during the year³. For quarterly installment payments during transition periods, if a taxpayer expects lower taxable income or had no taxable income in the preceding year, they can calculate their installments based on actual current-year performance utilizing guidelines issued by the CGIR¹⁹.

Mandatory TIN Verification for National Activities

To broaden the tax base and bring informal transactions into the formal banking and legal systems, Act No. 11 of 2026 mandates that relevant public and private officials verify a person's TIN before allowing critical transactions²¹. Effective from April 1, 2026, a valid TIN is required for:

- Opening any new bank or commercial deposit account²¹.
- Obtaining official municipal approval for building and architectural plans²¹.
- Registering a newly acquired motor vehicle with the Department of Motor Traffic²¹.
- Renewing an existing motor vehicle license²¹.

This institutional linkage ensures that any individual engaging in significant wealth-accumulating activities is automatically registered within the IRD's database²¹. This enables cross-referencing between asset registration and declared tax returns²⁰.

Risk-Based Fast-Track Refunds

Under the revised direct tax rules, the CGIR is empowered to bypass formal tax audits and process refund claims within three months of submission if they fall below specific risk thresholds². For resident individuals (excluding senior citizens), refund claims up to LKR 180,000 for Y/A 2025/2026 are fast-tracked².

For senior citizens who are not quarterly installment payers, the fast-track threshold is set at LKR 180,000 per year or LKR 45,000 per quarter². This rapid disbursement mechanism mitigates liquidity challenges for individuals whose creditable AIT on interest was over-withheld by banks prior to the submission of self-declarations².

Return Filing Exemptions

To reduce administrative processing costs, individuals whose annual income is derived exclusively from employment subjected to mandatory APIT, and who have secondary interest income under LKR 5,000 for the entire Year of Assessment, are completely exempt from lodging an annual Return of Income²⁹.

Audit Exemption under the Safe Harbor Clause

Commencing from the Year of Assessment starting April 1, 2025, the IRD has introduced a Safe Harbor clause for individual taxpayers²¹. An individual's Return of Income will be accepted as filed, and no amended or additional assessment will be issued for that year, provided three criteria are met:

- The individual declares and pays a tax liability that is at least 120% of the tax paid for the immediately preceding year²¹.
- The return is filed with full tax paid, and no refund is claimed²¹.
- The individual submits a signed affidavit confirming the absence of fraud, evasion, or willful default regarding the taxable income²¹.

This administrative compromise allows high-income earners to secure audit immunity through a voluntary 20% year-on-year tax escalation, allowing the IRD to redirect its investigative assets toward uncooperative high-net-worth individuals and corporate entities²¹.

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Strategic Reengineering of Source-Based Taxation in Sri Lanka: Comprehensive Analysis of Withholding Tax, Advance Income Tax, and Service Fee Capture (2025–2026)

The Macro-Fiscal Transition of the Sri Lankan Revenue Landscape

The fiscal architecture of Sri Lanka has undergone a profound transformation during the 2025–2026 period, driven by a structural mandate to broaden the domestic tax base, eliminate systemic informalities, and optimize direct tax collection at the source¹. The legislative catalysts for these changes are the Inland Revenue (Amendment) Act, No. 2 of 2025 and the subsequent Inland Revenue (Amendment) Act, No. 11 of 2026³. These statutory instruments dismantle long-standing exemptions, recalibrate personal and corporate tax rates, reengineer withholding tax frameworks, and implement mandatory administrative systems designed to eliminate tax arbitrage and transaction-level non-compliance³.

A central objective of this fiscal shift is the systematic capture of tax at the source⁷. By converting voluntary or optional deductions back into rigorous, mandatory withholding mechanisms, the state shifts the administrative burden of tax collection onto economic intermediaries, referred to under the law as Withholding Agents⁸. This analysis provides an exhaustive evaluation of these modifications, focusing on withholding tax revisions, systemic anti-avoidance measures, administrative integration, and compliance rules governing the 2025–2026 fiscal years.

Reconceptualizing Source Tax Capture: Withholding Tax and Advance Income Tax

The conceptual boundaries between Withholding Tax (WHT) and Advance Income Tax (AIT) have been legally consolidated to streamline collection mechanics at the source⁸. Historically, source-based deductions in Sri Lanka shifted between mandatory withholding and voluntary advance schemes⁹. Under the active 2025–2026 framework, both systems operate as mandatory source deductions, applying specific statutory percentages on gross payments before funds are disbursed to the ultimate recipient⁹.

Structural Revisions to Service Payments (WHT)

Under Section 85(1C) of the Inland Revenue Act, service fee payments made to specified resident individuals who are not employees of the payer are subject to mandatory withholding at a flat rate of 5%, provided the aggregate monthly payment from a single source exceeds LKR 100,000¹⁰.

Reconciling the Partnership Classification Under Section 85

A critical area of distinction is the statutory treatment of partnerships versus resident individuals⁹. While individual independent service providers are subject to the 5% service WHT, partnerships are treated as separate taxable entities under the broader corporate tax framework and are not subject to the 5% withholding tax on their service invoices¹⁰. Under the Inland Revenue (Amendment) Act, No. 2 of 2025, partnerships are subject to a flat income tax rate of 6% on their taxable income exceeding a threshold of LKR 1,000,000⁹. Historically, a 8% withholding tax applied to a partner's share of partnership income¹², but this was replaced by a direct partnership-level income tax⁹. Therefore, withholding agents do not deduct the 5% service WHT when paying a registered partnership for professional or consultancy services⁹. The 5% rate is confined to resident individuals performing services in an independent capacity¹⁰. This distinction prevents double taxation at the partnership level and aligns with the entity-level tax changes brought by recent Amending Acts⁹.

The Expanded Scope of Specified Professions

While the 5% service WHT historically applied to a limited subset of independent professionals, the Inland Revenue (Amendment) Act, No. 11 of 2026, certified on June 3, 2026, dramatically widened the statutory net⁴. The expanded list of specified professions subject to the 5% withholding deduction now includes the following categories of independent service providers¹⁰:

Professional & Technical Services	Creative, Media & Entertainment	Trades, Specialized Fields & Intermediary
• Doctors, Dentists, Veterinarians ¹⁰	• Artists, Actors, Dancers, Singers ¹⁰	• Cooks, Electricians ¹⁰
• Engineers, Architects, Valuers ⁷	• Musicians, Designers, Modelers ¹⁰	• Information Technology Specialists ¹⁰
• Accountants, Auditors ⁷	• Photographers, Videographers ¹⁰	• Advertising Agents, Advisors ¹⁰
• Lawyers, Researchers, Academics ⁷	• Social Media Specialists ¹⁰	• Event Organizers ¹⁰
• Translators, Writers ¹⁰	• Brand Ambassadors,	• Debt Collectors ¹⁰

	Sports Persons ¹⁰	
• Teachers, Lecturers, Examiners ⁷	• Personal Trainers, Coaches ¹⁰	• Insurance, Sales, Canvassing Agents ⁷
• Invigilators, Exam Supervisors ⁷	• Therapists, Counselors, Beauticians ¹⁰	• Contractual Suppliers (via tender/quotation) ¹⁶

Aggregation Mechanics and the LKR 100,000 Threshold

The deduction applies on the gross transaction value, excluding any Value Added Tax (VAT)⁸. The aggregate payments made by a single withholding agent to a single resident individual within a calendar month govern the threshold applicability⁷. The calculation follows strict mathematical guidelines:

1. **Strictly Below the Threshold:** If the aggregate monthly payment is less than LKR 100,000, no withholding tax is deducted ($WHT = 0$)¹⁷.
2. **Exactly at the Threshold:** If the aggregate monthly payment is exactly LKR 100,000, WHT deduction is not required ($WHT = 0$)¹⁷.
3. **Exceeding the Threshold:** If the aggregate monthly payment exceeds LKR 100,000, the 5% tax must be applied to the *entire* gross payment, not just the excess⁷.

Let P_G represent the gross monthly payment (excluding VAT) and T_s represent the statutory tax rate of 0.05 (5%)⁸. The withholding tax liability (WHT) is calculated as:

$$\text{If } P_G \leq 100,000 \implies WHT = 0$$

$$\text{If } P_G > 100,000 \implies WHT = P_G \times T_s$$

Grossing-Up Formulas for Net Contract Agreements

In transactions where the contract requires the withholding agent to bear the tax burden, the invoice value is treated as the net amount (P_N)⁸. The withholding agent must gross up the invoice to calculate the correct tax payable⁸. The formula to calculate the grossed-up payment (P_G) and the corresponding withholding tax is:

$$P_G = \frac{P_N}{1 - T_s}$$

For the 5% service fee rate:

$$P_G = \frac{P_N}{1 - 0.05} = \frac{P_N}{0.95}$$

$$\text{WHT} = P_G - P_N = P_G \times 0.05$$

When professional services are denominated in foreign currency, the withholding agent must convert the payment into Sri Lankan Rupees (LKR)⁸. Under statutory guidelines, conversion must use the official selling rate published by the Central Bank of Sri Lanka on the exact date of remittance⁸.

The Evolution of Service Categories: Exclusions and Inclusions

In the early implementation of Section 85(1C), the Inland Revenue Department strictly limited the definition of independent service providers to doctors, engineers, accountants, lawyers, software developers, researchers, and academics¹⁷. Other categories, such as general contract payments (like security, janitorial, transport) and management fees, were excluded because no specific regulations had been gazetted to cover them¹⁷.

The enactment of the Inland Revenue (Amendment) Act, No. 11 of 2026 represents a major legislative expansion⁵. The scope of independent professionals was widened to capture creative professionals, personal trainers, advisors, translators, and IT specialists¹⁰. Despite this expansion, corporate management fees and standard commercial sub-contracts remain outside the scope of Section 85(1C) because the tax is designed to target individual, non-employee service providers¹⁰. Commissions and brokerage fees paid to resident insurance, sales, or canvassing agents, however, are fully subject to the 5% deduction⁷.

Dual Asset Class Capture: Interest and Rental Income Frameworks

To establish a comprehensive source-based taxation system, the 2025–2026 fiscal guidelines apply specific rules to other high-value asset classes, primarily interest on bank deposits and commercial rent⁷. These asset classes are subject to higher withholding rates, reflecting their passive nature⁷.

The Re-escalation of Deposit Interest (AIT)

The Inland Revenue (Amendment) Act, No. 2 of 2025 introduced a major rate adjustment on

investment returns, doubling the WHT/AIT rate on interest and discount income from 5% to 10% effective April 1, 2025³. This rate applies to both resident and non-resident deposit holders⁸.

The Self-Declaration Mechanism for Low-Income Earners

To shield low-income earners and small depositors from the higher 10% rate, a self-declaration framework was established under Act No. 2 of 2025². Resident individuals whose total assessable income from all sources (including employment, business, and investment returns) does not exceed the personal tax-free relief threshold of LKR 1,800,000 per annum are eligible for WHT/AIT relief on deposit interest³. Eligible individuals must submit a completed declaration form (Form ISD/WHT/01-E or ISD/WHT/02-E) to their financial institutions¹⁸. Once received and validated, the bank will not deduct AIT on interest payments¹⁸.

This relief mechanism is governed by strict administrative rules:

- **Annual Resubmission:** The self-declaration is valid only for a single Year of Assessment (from April 1st to March 31st) and must be submitted anew each fiscal year¹⁸.
- **Multiple Financial Institutions:** If a taxpayer maintains deposits across multiple banks, a separate self-declaration must be submitted to each bank¹⁸.
- **The No-Refund Clause:** If the bank deducts the 10% AIT prior to receiving the self-declaration, the bank is legally barred from issuing a refund to the client¹⁸. The taxpayer must instead claim a refund directly from the Inland Revenue Department¹⁸.
- **Joint Account Apportionment:** Interest income from joint accounts must be apportioned among the joint owners according to their documented legal interest¹⁵. If their respective shares are not documented, they are treated as equal partners¹⁵. Each joint account holder must submit a separate self-declaration to qualify for relief on their respective share¹⁸.
- **Minor Accounts:** Guardians can submit the self-declaration on behalf of a minor, but they must provide the guardian's National Identity Card (NIC) and Taxpayer Identification Number (TIN)¹⁸.
- **Invalidation through Account Changes:** Opening a new account with the same institution invalidates the existing self-declaration, requiring the depositor to submit a new declaration¹⁸.

Administrative Costs and False Statement Penalties

To protect taxpayers, banks and financial institutions are legally prohibited from charging any fee for issuing WHT/AIT certificates¹⁰. Conversely, submitting false or misleading statements in a self-declaration to evade WHT/AIT carries severe penalties under Section 178A of the Inland Revenue Act, with fines up to LKR 200,000⁴.

Rent and Other Targeted Transactional WHT

The 2025–2026 fiscal framework maintains targeted source deductions for other specific asset-class transactions:

- **Rental Payments to Resident Persons:** Rental payments exceeding an aggregate of LKR 100,000 per calendar month to a resident individual are subject to a mandatory 10%

withholding rate on the full payment⁷. The tax is calculated on the gross rent, and the distinction between operating and finance leases is strictly enforced²⁵. Operating leases are treated as rental services subject to WHT²⁵, while finance leases are classified as debt repayments and exempt from rent-based WHT²⁵.

- **Double Tax Avoidance Agreements (DTAAs):** For payments made to non-residents (such as royalties, service fees, or insurance premiums), the standard withholding rate is 14%⁷. However, if the recipient is a resident of a country with which Sri Lanka has a DTAA, a lower withholding rate may apply, provided the recipient obtains a tax clearance certificate from the Commissioner-General of Inland Revenue prior to the transaction⁸.

Systemic Integration and Anti-Tax Avoidance Mechanisms

Beyond updating rates, the 2025–2026 legislative updates closed long-standing structural loopholes that corporate entities and individuals used to reduce their tax liabilities.

The Eradication of Life Insurance Shadow Deposits (Section 52A)

The newly enacted Section 52A of the Inland Revenue Act, introduced via Act No. 11 of 2026, blocks tax avoidance schemes that used life insurance policies as tax-sheltered investment accounts¹. Financial institutions were marketing structured wealth management products as life insurance policies¹. These products offered guaranteed, periodic returns similar to standard fixed deposits, but they bypassed the mandatory withholding tax on interest because they were labeled as insurance¹.

Section 52A restores equity by distinguishing between genuine insurance benefits and investment payouts¹:

Statutory Treatment under Section 52A	Policy Scenario and Triggers	Tax Status
Section 52A(1): Exempt Benefits	Payouts triggered by the death of the insured, the absolute maturity of the standard term, or early total surrender of the base policy ¹ .	Excluded from assessable income (Tax-Free) ¹ .
Section 52A(2): Taxable Disbursements	Periodic withdrawals, guaranteed annuity distributions, regular investment-linked income withdrawals, or	Treated as assessable investment or business income, subject to standard taxation ¹ .

	disbursements that do not stem from death or full maturity ¹ . Also includes policies linked directly to business or employment income ¹ .	
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This application of the "substance over form" principle prevents capital flight from taxable bank deposits into tax-sheltered insurance schemes, ensuring a level playing field for financial institutions¹.

Unit Trusts and Mutual Funds Pass-Through Rules

To maintain the tax-neutral status of collective investment schemes while preventing tax deferral, Act No. 11 of 2026 tightened the rules for unit trusts and mutual funds¹⁰:

- **Mandatory Reporting (Pass-Through):** Unit trusts and mutual funds are required to issue a certificate to every unit holder within five months after the end of each Year of Assessment (on or before August 31st)¹⁰. This certificate must detail the unit holder's share of income, exempt amounts, and any withholding tax deducted at the fund level¹⁰. This enables pass-through tax treatment, placing the ultimate tax liability on the individual unit holder¹⁰.
- **The Penalty for Non-Compliance:** If the trust fails to provide these certificates by the deadline, it loses its pass-through status¹⁰. The fund is then classified as a company for tax purposes, and the trust itself must pay tax on its taxable income at the corporate rate of 30%¹⁰. In this scenario, the individual unit holder is shielded from tax on distributions, shifting the tax burden to the fund¹⁰. This rule became effective on April 1, 2025¹⁰.

Administrative and Procedural Compliance Reengineering

To enforce the 2025–2026 tax framework, the government introduced several operational changes designed to expand tax registration, simplify compliance for honest taxpayers, and encourage the settlement of outstanding tax disputes.

The Mandatory TIN Integration Strategy

The Taxpayer Identification Number (TIN) has been transformed from an administrative record into a mandatory requirement for everyday transactions⁵. Effective April 1, 2026, public officials and financial institutions are legally required to verify a person's TIN before permitting the following activities⁴:

1. Opening any institutional or personal bank account⁴.
2. Obtaining local authority approval for building plans⁴.
3. Registering the transfer of land or real property ownership⁵.
4. Registering a new business enterprise²³.

5. Registering a motor vehicle or renewing a vehicle license⁴.
6. Transferring shares of a company²³.
7. Obtaining a personal credit card²³.

To support this integration, Act No. 11 of 2026 stripped the TIN of its confidential status⁵. This enables seamless, cross-agency verification and allows the Inland Revenue Department to reconcile third-party transactions with a taxpayer's declared income, making it much harder to hide assets.

Discontinuation of the Statement of Estimated Tax Payable (SET)

The Inland Revenue (Amendment) Act, No. 11 of 2026 reduced the administrative burden on taxpayers by abolishing the requirement to file a Statement of Estimated Tax Payable (SET), effective April 1, 2026⁴. Under the old system, taxpayers had to file a SET with their first quarterly installment²⁴. Under the new system, quarterly installments are calculated using a backward-looking baseline¹⁰:

$$\text{Quarterly Installment Amount} = \frac{\text{Actual Income Tax Payable for the Preceding Year of Assessment}}{4}$$

For example, for the Year of Assessment 2026/2027, the quarterly installments are based on the final income tax liability of the 2025/2026 fiscal year¹⁰.

However, to accommodate changes in a taxpayer's financial situation, the law provides an opt-out mechanism⁴:

- **Opt-Out Provision:** If a taxpayer had no taxable income in the previous year, or expects their current year's income to be significantly lower, they can calculate their quarterly payments using estimated figures for the current year⁴. These estimated payments must follow the calculation guidelines and procedures issued by the Commissioner-General⁴.

The "Safe Harbor" Acceptance of Individual Returns

To encourage honest filing and optimize its audit resources, the Inland Revenue Department introduced a "Safe Harbor" program for individual returns starting in the Year of Assessment commencing April 1, 2025⁴. Under this program, an individual's tax return is accepted as filed, and the IRD will not issue an amended or additional assessment, provided three conditions are met⁴:

1. **The 120% Rule:** The taxpayer declares and pays a tax liability that is at least 120% of the tax paid in the immediately preceding Year of Assessment⁴.
2. **The No-Refund Rule:** The full tax liability for the year is paid, and the taxpayer does not claim any tax refund⁴.
3. **The Anti-Fraud Affidavit:** The taxpayer provides a signed affidavit confirming there has been no fraud, evasion, or willful default regarding the tax due for the current year⁴.

This policy allows compliant taxpayers to avoid the uncertainty of future tax audits, while letting the IRD focus its resources on high-risk, non-compliant cases.

The 2026 Interest Relief Scheme

To encourage the settlement of outstanding tax disputes, Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced a major interest relief program³⁰. The Commissioner-General is authorized to write off all accumulated interest on underpayments or late payments of taxes up to the Year of Assessment ending March 31, 2025, provided the taxpayer fulfills specific conditions⁴:

- **The 6-Month Settlement Window:** The taxpayer must settle the full principal tax liability within six months of the Act's certification date³⁰. Because the Act was certified on June 3, 2026, the final date to settle outstanding principal tax liabilities and qualify for this relief was December 2, 2026³⁰.
- **Eligible Taxes:** This interest write-off covers Income Tax, Withholding Tax, Advance Personal Income Tax (APIT), Pay-As-You-Earn (PAYE) Tax, Advance Income Tax (AIT), Capital Gains Tax (CGT), Remittance Tax, Surcharge Tax (under Act No. 14 of 2022), and the Debt Repayment Levy (under Act No. 35 of 2018)³⁰.
- **Pending Audits and Appeals:** Taxpayers with pending audits or appeals could also qualify³⁰. They could settle the disputed principal tax liability before the December 2, 2026 deadline while maintaining their right to appeal³⁰. If the appeal was eventually resolved in their favor, they could claim a refund for the settled principal within six months of the final determination³⁰.

Technical Summary of Tax Schedules (2025–2026)

To ensure accurate administrative and financial planning, the following tables compile the structural tax rates, slabs, and compliance windows for the 2025–2026 period.

Table 4: Comprehensive Withholding Tax (WHT) and Advance Income Tax (AIT) Rates

Category of Payment	Applicable Threshold	Mandatory Rate	Statutory Status of Source Deduction
Service Fee Payments to Resident Individuals	Exceeding LKR 100,000 per calendar month ¹⁰	5% on full gross payment ⁸	Non-Final (Adjustable against annual return) ³¹
Deposit Interest / Discounts (Resident/Non-Resident)	Standard account holding ⁸	10% ³	Non-Final (Exempt if valid self-declaration is submitted) ³

Rental Payments to Resident Individuals	Exceeding LKR 100,000 per calendar month ⁷	10% on full rent ⁷	Non-Final (Adjustable against annual return) ⁷
Dividends Sourced from Resident Companies	Upon distribution ⁷	15% ⁷	Final withholding payment ⁷
Winnings from Lottery, Betting, or Gambling	No threshold ⁸	14% ⁷	Final withholding payment ³²
Royalties, Natural Resource Payments, Charges, Premiums	No threshold ⁸	14% ⁷	Non-Final (For residents) / Final (For non-residents) ⁷
Service Fees & Insurance Premiums to Non-Residents	Sourced in Sri Lanka ⁷	14% ⁷	Final withholding payment ³¹
Non-Resident Land, Sea, Air Transport, or Telecoms	Section 85(2) transactions ⁸	2% ⁸	Final withholding payment ¹³
Gems Sold at Auctions (NGJA)	Auction price payable ⁸	2.5% ⁸	Non-Final (Requires monthly NGJA returns) ¹⁰

Table 5: Personal Income Tax Slabs for Resident Individuals and Non-Resident Citizens

The following tax slabs apply to individuals for any Year of Assessment commencing on or after April 1, 2025, after deducting the mandatory personal relief of LKR 1,800,000³.

$$\text{Taxable Income} = \text{Total Assessable Income} - \text{LKR 1,800,000}$$

Taxable Income Bracket (LKR)	Marginal Tax Rate	Base Tax on Bracket (LKR)	Cumulative Tax Payable (LKR)
First LKR 1,000,000	6% ⁹	LKR 60,000	LKR 60,000 ³⁵
Next LKR 500,000 (LKR 1,000,001 – 1,500,000)	18% ³⁵	LKR 90,000	LKR 150,000 ³⁵
Next LKR 500,000 (LKR 1,500,001 – 2,000,000)	24% ³⁵	LKR 120,000	LKR 270,000 ³⁵
Next LKR 500,000 (LKR 2,000,001 – 2,500,000)	30% ³⁵	LKR 150,000	LKR 420,000 ³⁵
Exceeding LKR 2,500,000	36% ³⁵	Dependent on excess	LKR 420,000 + 36% of amount over 2,500,000 ³⁵

Table 6: Entity-Level Corporate and Capital Gains Tax Rates (2025–2026)

Taxpayer / Entity Classification	Standard Tax Rate	Special / Concessionary Rate	Capital Gains Tax (CGT) Rate
Standard Corporate Entities	30% ⁶	N/A	30% ²⁸
Service Exporters & Foreign Currency Sources	N/A	15% (If remitted through a local bank) ³	30% ²⁸
Harmful Sectors (Gaming, Liquor,	N/A	45% (Betting/gaming, liquor, tobacco) ³	30% ²⁸

Tobacco)			
Partnerships	6% flat (First LKR 1 million is tax-free) ⁹	N/A	15% (Increased from 10% on June 3, 2026) ⁵
Trusts	30% ¹²	N/A	30% (Increased from 10% on June 3, 2026) ⁵
Unit Trusts or Mutual Funds	30% (If pass-through status is lost) ¹⁰	Pass-through treatment (If certificates are filed) ¹⁰	30% (Increased from 10% on June 3, 2026) ⁵
Non-Governmental Organizations	30% ²⁸	30% on 3% of gross grants and donations ²⁸	30% (Increased from 10% on June 3, 2026) ⁵
Charitable Institutions	14% ²⁸	N/A	10% ²⁸
Pension, Provident, & Termination Funds	14% ²²	N/A	10% ²⁸

Conclusion: Strategic Implications for Withholding Agents and Taxpayers

The fiscal changes introduced in Sri Lanka over the 2025–2026 period mark a shift from voluntary tax compliance toward automated enforcement and real-time revenue collection at the source². By expanding the scope of withholding taxes, making TIN verification mandatory for everyday transactions, and closing exemptions on structured financial products, the state has created an integrated tax tracking system¹.

For withholding agents, these changes carry significant operational responsibilities. Agents must update their accounting and payment systems to ensure accurate tax deductions, handle the self-declaration process for interest income, and issue mandatory withholding tax certificates free of charge, all while facing strict penalties for non-compliance¹⁰. For individual taxpayers, the higher withholding rates on interest and services are partially balanced by a higher personal relief threshold and the safety of the return-acceptance "Safe Harbor"³. Overall, these reforms represent a structural reorganization designed to secure stable revenue

for Sri Lanka's economic recovery program while modernizing its tax administration¹.

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Comprehensive Advisory Report on the Sri Lankan Withholding Tax and Advance Income Tax Framework for 2025-2026

Executive Overview

The fiscal landscape of Sri Lanka for the Years of Assessment 2025/2026 and 2026/2027 has undergone a profound structural transformation¹. Driven by legislative initiatives designed to broaden the tax base and formalize cash transactions, the Inland Revenue Department (IRD) has overhauled the Withholding Tax (WHT) and Advance Income Tax (AIT) frameworks¹. Key changes certified under the Inland Revenue (Amendment) Act No. 02 of 2025 and the subsequent Inland Revenue (Amendment) Act No. 11 of 2026 establish higher default tax rates, mandatory digital integration, and stringent compliance requirements for withholding agents¹. The primary policy shift focuses on moving from a flat, uniform taxation model to a system characterized by targeted exemptions and self-declarations, particularly concerning interest income⁶. This analytical report evaluates the operational mechanics, withholding rates, cross-border tax considerations, and statutory compliance timelines governing Sri Lankan taxation for the 2025-2026 period.

Legislative Foundations of the 2025-2026 Revisions

The legislative framework for the 2025-2026 tax periods is anchored on two major amending acts: the Inland Revenue (Amendment) Act No. 02 of 2025, certified on March 20, 2025¹, and the Inland Revenue (Amendment) Act No. 11 of 2026, certified by Parliament on June 3, 2026². These amendments represent a strategic realignment of Sri Lankan tax policy with international standards, characterized by base-broadening measures and the elimination of historical concessions⁷.

A central feature of the 2025 reforms is the removal of the long-standing tax exemptions on service exports and foreign-sourced income, effective April 1, 2025¹. These profits are now subject to a concessionary income tax rate capped at 15% for both companies and individuals, provided specific repatriation and banking conditions are satisfied⁷. If these conditions are not met, standard income tax rates of 30% for companies and up to 36% for individuals apply⁷. Concurrently, the standard individual personal relief (the tax-free allowance) was raised to LKR 1,800,000 per annum, reflecting an attempt to protect low- and middle-income earners during a period of structural adjustment¹. To counteract the revenue lost from this expanded allowance, the legislature increased the default AIT rate on interest and discounts from 5% to 10%¹. This increase serves as a highly efficient revenue mobilization tool, capturing liquidity directly at the banking source while reserving progressivity through a robust self-declaration mechanism⁷.

Comprehensive Analysis of Withholding Tax Rates and Thresholds

The withholding and advance income tax rates applicable for the Year of Assessment 2025/2026 are highly differentiated, categorizing payments by transaction type, resident status, and specific statutory thresholds³.

Payment / Income Category	Statutory WHT / AIT Rate	Key Conditions & Exemptions
Interest or Discount Income	10%	Applies to both resident and non-resident accounts ¹ . Fully exempt for resident individuals with an annual assessable income $\leq$ LKR 1,800,000 who submit a valid self-declaration ⁶ .
Dividends	15%	Treated as a final withholding tax ¹¹ . Exemptions apply to pass-through dividends and certain qualified Board of Investment (BOI) logistics/offshore operations ³ .
Rent (Resident Individuals)	10%	Applicable only if the aggregate monthly rent exceeds LKR 100,000; calculated on the full payment ¹⁰ .
Service Fees (Resident Individuals)	5%	Applicable to specified Independent Service Providers (ISPs) if aggregate monthly fees exceed LKR 100,000; calculated on the full

		payment ¹¹ .
Winnings from Lottery, Betting, or Gambling	14%	Exempt from withholding if the gross winnings of a lottery do not exceed LKR 500,000 ³ . Flat 14% deducted from the first rupee if the threshold is breached ¹⁰ .
Rent paid to Non-Residents	14%	Flat rate applied at source; subject to Double Tax Avoidance Agreement (DTAA) relief ¹⁰ .
Service Fees / Insurance Premiums to Non-Residents	14%	Flat rate applied at source; subject to DTAA relief ¹⁰ .
Royalties	14%	Flat rate applied at source; subject to DTAA relief ¹⁰ .
Charges, Natural Resource Payments, or Premiums	14%	Applied under Section 195 of the Inland Revenue Act ¹⁰ .
Non-Resident Transport & Telecom Services	2%	Calculated on gross payments under Section 85(2) and Extraordinary Gazette Notification No. 2064/51 ³ .
Gems sold at Auction	2.5%	Collected on the sale price at auctions conducted by the National Gem & Jewellery Authority ³ .

Interest Income and the Self-Declaration Mechanism

The increase of the AIT on interest to 10% is accompanied by an active self-declaration relief mechanism designed to prevent tax deductions on low-income earners¹. Resident individuals whose total aggregate assessable income from all sources (including employment, business, and investments) does not exceed LKR 1,800,000 for the relevant year of assessment are

eligible to submit a Self-Declaration of Non-Taxable Status (Form ISD/WHT/02-E) to their financial institutions⁶.

Upon receipt of a complete and valid declaration, banks and financial institutions are prohibited from deducting the 10% AIT from the depositor's accounts⁶. This declaration remains valid for a single year of assessment (from April 1 to March 31 of the following year) and must be resubmitted annually⁶. If a depositor opens a new account, any existing declaration is invalidated, requiring a fresh submission⁶.

Crucially, if the bank deducts AIT prior to receiving the declaration, the financial institution is legally barred from issuing a refund directly to the depositor; the taxpayer must seek a refund directly from the IRD⁶. To prevent abuse, the IRD utilizes RAMIS integrated software to cross-verify these declarations². If the IRD's audit flags a declaration as invalid because the taxpayer's total assessable income exceeded the LKR 1,800,000 limit, a formal notice is dispatched to the financial institution, which must immediately resume AIT deductions¹⁹.

Taxpayers who provide false or misleading declarations are subject to substantial administrative penalties of up to LKR 200,000⁴.

Expansion of Service WHT on Independent Service Providers

Under Section 85 of the Inland Revenue Act, payments exceeding LKR 100,000 per calendar month to a resident individual who is not an employee of the payer are subject to a 5% withholding tax on the full payment¹². The Inland Revenue (Amendment) Act No. 11 of 2026 expanded the scope of this provision to cover an exhaustive catalog of modern digital and specialized professions⁵.

This expanded list of Independent Service Providers includes teachers, lecturers, doctors, lawyers, engineers, software developers, researchers, academics, personal trainers, coaches, valuers, artists, actors, dancers, singers, musicians, event organizers, photographers, videographers, therapists, counselors, beauticians, cooks, electricians, dentists, veterinarians, social media specialists, brand ambassadors, sportspeople, IT specialists, advertising agents, advisors, translators, writers, and debt collectors⁵.

The second-order policy implication of this expansion is clear: the state is systematically targeting the informal and digital gig economies. By shifting the administrative burden of collection onto corporate payers (acting as withholding agents), the state bypasses the administrative friction of monitoring individual income tax returns for non-salaried digital creators and independent contractors, thereby capturing taxable revenue at the immediate point of transaction³.

Operational Protocols for Withholding Agents

Withholding agents bear joint and several liability with the payee for ensuring that all due taxes are accurately withheld and remitted to the state²⁰. The Inland Revenue Act and corresponding circulars establish precise operational protocols that agents must execute³.

Gross-Up Requirements and VAT Exclusions

Withholding tax calculations must be based strictly on the gross transaction amount, excluding

any Value Added Tax (VAT) payable on the invoice³. In contractual arrangements where the contracting parties agree that the payee must receive a specified "net" amount (meaning the resident payer absorbs the tax liability), the withholding agent must mathematically gross up the payment before calculating the WHT³.

Furthermore, when transactions are denominated in foreign currencies, withholding agents must convert the invoice value into Sri Lankan Rupees (LKR) using the official foreign exchange selling rate published by the Central Bank of Sri Lanka (CBSL) on the exact date the payment is paid, credited, reinvested, or made available to the payee³.

Mandate for Free Certificate Issuance

A significant compliance change introduced under Act No. 11 of 2026 mandates that withholding agents must issue a standardized Certificate of Withholding Tax Deduction to all payees free of charge⁴. Financial institutions and corporate entities are strictly prohibited from charging administrative fees for generating or distributing these certificates⁴.

These certificates must cover a calendar month and be served to the payee within 30 days of the end of the month in which the deduction occurred³. While soft copies are acceptable if the withholder consents, agents must provide a physical, printed certificate upon request¹⁶.

Non-compliance with certificate issuance or the submission of inaccurate data to the IRD carries an administrative penalty of up to LKR 200,000 per Year of Assessment⁴.

Compliance Mandates and Filing Calendars

The administration of withholding tax operates on a strict monthly remittance cycle combined with periodic reporting requirements¹⁶. Withholding agents must remit all taxes collected to the Commissioner General of Inland Revenue within 15 days of the close of each calendar month³. Payments are channeled through the Online Tax Payments Platform (OTPP) or manually at designated branches of the People's Bank, utilizing specific Tax Type Codes³:

- **Tax Type Code 43:** Withholding Tax / Advance Income Tax on Interest³
- **Tax Type Code 44:** Withholding Tax on other specified payments (such as services, royalties, rents, and dividends)³

Reporting Deadlines and Period Codes

For the Year of Assessment 2025/2026, the IRD has formalized a quarterly reporting structure specifically for banks and financial institutions acting as withholding agents for deposit interest AIT²³. Other withholding agents must reconcile their deductions through the comprehensive Annual Statement²³.

Reporting Period	Covering Period	Period Code	Statutory Due Date
Q1 Statement of	April 1, 2025 – June	25261	July 30, 2025 ²³

AIT	30, 2025		
Q2 Statement of AIT	July 1, 2025 – September 30, 2025	25262	October 30, 2025 ²³
Q3 Statement of AIT	October 1, 2025 – December 31, 2025	25263	January 31, 2026 ²³
Q4 (Reconciled)	January 1, 2026 – March 31, 2026	Included in Annual Statement	April 30, 2026 ²³
Annual Statement	April 1, 2025 – March 31, 2026	Form Asmt WHT_001_E	April 30, 2026 ²³

Exemptions from Return Filing for Individuals

To reduce administrative bottlenecks within the IRD, individual taxpayers whose income is heavily pre-taxed at source are exempt from the requirement to file an annual income tax return⁵. Under the 2025-2026 framework, a resident individual is not required to file a return if their sole source of income is standard employment subject to Advance Personal Income Tax (APIT), or if their non-employment investment income consists exclusively of interest from which AIT has been deducted and does not exceed LKR 5,000 per annum⁵.

Strategic Implications for Cross-Border Transactions

Cross-border payments face a complex intersection of domestic source taxation, Double Tax Avoidance Agreements (DTAAs), and strict capital flight controls²⁴. While domestic law imposes a default 14% WHT on non-resident royalties, rents, service fees, and technical service fees¹⁰, these rates are routinely overridden by bilateral DTAAs, which typically limit source taxation to 10% or exempt service fees entirely if the non-resident provider lacks a Permanent Establishment (PE) in Sri Lanka²⁶.

Tax Clearance Certificate Requirements

To prevent illicit capital flight, the Central Bank of Sri Lanka (CBSL) and the IRD enforce strict Tax Clearance Certificate (TCC) protocols under Extraordinary Gazette No. 2414/14²⁵.

Authorized Dealers and Licensed Commercial Banks are legally prohibited from executing outward foreign exchange remittances unless the withholding agent presents a valid TCC issued by the Commissioner of the Clearance and Direction Unit of the IRD²².

To secure a TCC at a concessionary DTAA rate, the withholding agent must formally apply and submit the non-resident payee's official Tax Residency Certificate (TRC), along with executed contracts, invoices, and proof of any gross-up calculations²⁵.

The Negative List Exception

To facilitate efficient commercial operations, the government maintains a revised "Negative List" of outward remittances that are entirely exempt from the TCC requirement²⁵. This list represents a critical relief valve for global trade integration:

- Remittances of corporate dividends, provided they have been subjected to the final 15% AIT or are explicitly exempt under the Inland Revenue Act²⁵.
- Payments for the import of tangible goods, which remain governed under standard customs and trade financing protocols²⁵.
- Remittances of the sale proceeds of quoted shares owned by non-residents in companies listed on the Colombo Stock Exchange²⁸.
- Interest payments on Special Deposit Accounts (SDAs) in foreign or local currency²⁵.
- Standardized payments for professional subscriptions, academic examination fees, and student living expenses²⁸.

Dual Taxation Exposure on Digital Services

A major development for international trade is the rollout of the Value Added Tax on non-resident digital services⁷. Under the Value Added Tax (Amendment) Act No. 14 of 2026, the effective date for digital service VAT was deferred to July 1, 2026, to allow the IRD to establish the necessary digital registration infrastructure².

Non-resident digital service providers who supply services through electronic platforms to customers in Sri Lanka must register for VAT if their annual turnover exceeds LKR 60,000,000, or if their quarterly turnover exceeds LKR 15,000,000²⁹. Registered providers must charge and remit VAT at the standard rate of 18%⁷.

From a corporate advisory perspective, this introduces a significant third-order effect. A non-resident SaaS or cloud infrastructure provider may find its services classified as "digital services" for VAT purposes (subject to 18% VAT)⁷ while also being categorized as a "service fee to a non-resident" under Section 85 of the Inland Revenue Act (subject to 14% WHT)¹⁰.

Because international technology giants typically refuse to absorb source withholding taxes, they frequently enforce strict net-of-tax contract clauses. Sri Lankan corporate consumers of foreign digital services are therefore forced to absorb the 14% grossed-up WHT in addition to the 18% digital VAT, substantially driving up the cost of enterprise software and technology adaptation within the country.

Regulatory Treatment of Special Entities

The 2025-2026 revisions impose targeted regulatory treatments on collective investment schemes and partnerships to ensure tax neutrality while preventing systemic evasion⁵.

Unit Trusts and Mutual Funds

Prior to the 2025 reforms, Unit Trusts enjoyed flexible administrative timelines regarding investor distributions. Under Act No. 11 of 2026, the state introduced a highly punitive compliance mechanism⁵. Effective from the Year of Assessment commencing April 1, 2025, any

Unit Trust or Mutual Fund that fails to issue a comprehensive certificate of income, exempt amounts, and withholding tax credits to every individual unit holder within five months of the close of the Year of Assessment (by August 31) will lose its tax-transparent status⁵.

In the event of such a failure, the Unit Trust is legally recharacterized as a resident company⁵. The trust is then subjected to the standard corporate income tax rate of 30% on its entire taxable income, and all distributed returns are taxed as corporate dividends at 15%¹⁰. This severe statutory penalty protects retail investors from losing their creditable tax certificates and forces fund managers to implement automated, real-time reporting solutions⁵.

Partnerships

Partnerships do not operate as final withholding tax entities¹¹. Instead, they are subject to a two-tier tax structure designed to maintain progressivity³⁰:

1. **Entity-Level Tax:** The partnership pays a flat 6% tax on its total taxable income exceeding LKR 1,000,000¹⁰.
2. **Partner-Level Taxation:** The net partnership profits are allocated to individual partners in proportion to their share of ownership³⁰. Partners aggregate this allocated profit with their other sources of global income, applying the standard progressive individual tax rates of 6% to 36%³⁰.
3. **Credit Pass-Through:** Individual partners are legally entitled to claim their proportional share of the 6% entity-level tax paid by the partnership as a direct tax credit against their final individual tax liability, preventing double taxation³⁰.

Technical Equations and Financial Formulas

To ensure operational precision, withholding agents must employ the following mathematical and scientific formulations when calculating tax liabilities under varying contractual structures.

The Net-to-Gross Formula

When a withholding agent enters into a contract where the payee is guaranteed a net transfer, the tax burden is borne entirely by the payer³. The gross payment must be derived prior to tax remittance³.

Let:

- G = Grossed-up payment (LKR)
- N = Agreed net payment to payee (LKR)
- t = Statutory withholding tax rate (expressed as a decimal)

The grossed-up amount is calculated as:

$$G = \frac{N}{1 - t}$$

The actual Withholding Tax (WHT) liability to be remitted to the IRD is formulated as:

$$WHT = G \times t = \frac{N \times t}{1 - t}$$

Example: If a Sri Lankan enterprise pays a non-resident software consultant a net fee of LKR 1,000,000 and the service is subject to the standard 14% non-resident service fee WHT¹⁰:

$$G = \frac{1,000,000}{1 - 0.14} = \frac{1,000,000}{0.86} \approx 1,162,790.70 \text{ LKR}$$

$$WHT = 1,162,790.70 \times 0.14 \approx 162,790.70 \text{ LKR}$$

Lottery and Gambling Winnings Formula

For winnings from any lottery, reward, betting, or gambling, withholding tax is executed on a threshold-dependent binary structure³:

Let:

- WHT = Tax to be deducted at source (LKR)
- P = Gross prize value (LKR)

$$\text{If } P \leq 500,000 \implies WHT = 0 \text{ LKR}$$

$$\text{If } P > 500,000 \implies WHT = P \times 0.14$$

Note: Winnings exceeding LKR 500,000 are subject to WHT on the full gross amount, not merely the excess over LKR 500,000¹⁰.

Progressive Individual Personal Income Tax Liability

For withholding agents calculating cumulative APIT on employee salaries, the progressive tax

liability (T) on cumulative employment income (I) exceeding the LKR 1,800,000 personal relief threshold is determined using a piecewise function corresponding to the statutory slabs⁷:

Let $I_{net} = I - 1,800,000$ (where I_{net} is the taxable income)⁷.

$$T(I_{net}) = \begin{cases} 0 & \text{if } I_{net} \leq 0 \\ 0.06 \times I_{net} & \text{if } 0 < I_{net} \leq 1,000,000 \\ 60,000 + 0.18 \times (I_{net} - 1,000,000) & \text{if } 1,000,000 < I_{net} \leq 1,500,000 \\ 150,000 + 0.24 \times (I_{net} - 1,500,000) & \text{if } 1,500,000 < I_{net} \leq 2,000,000 \\ 270,000 + 0.30 \times (I_{net} - 2,000,000) & \text{if } 2,000,000 < I_{net} \leq 2,500,000 \\ 420,000 + 0.36 \times (I_{net} - 2,500,000) & \text{if } I_{net} > 2,500,000 \end{cases}$$

This function ensures mathematically accurate monthly APIT deductions based on year-to-date cumulative earnings³².

Analytical Conclusions

The structural changes introduced to Sri Lanka's withholding and advance income tax regimes for 2025-2026 represent a clear departure from a discretionary, manual tax model toward an integrated, system-driven enforcement model². The dramatic increase in interest AIT to 10% coupled with the digital self-declaration mechanism demonstrates how modern data analytics can balance aggressive revenue generation with progressive equity⁷.

Furthermore, the expansion of the independent service provider definitions under Act No. 11 of 2026 signals an end to the tax-free status of the informal gig and lifestyle economies⁵. By forcing withholding agents to register for Taxpayer Identification Numbers (TINs)²¹ and restricting business deductions on cash payments exceeding LKR 500,000⁴, the state has effectively transformed the corporate sector into the primary enforcement arm of the Inland Revenue Department.

For multinational corporations and local enterprises alike, managing these withholding mandates requires rigorous contract structuring, strict adherence to foreign exchange conversion protocols, and automated compliance calendars to mitigate substantial exposure to penalties⁴.

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